Question 1
Which of the following is an advantage of a good corporate governance structure?

A. Decline in the operational freedom and efficiency.
B. Increase in business and investment risk.
C. Decrease in the cost of debt.

Question 2
Which of the following is most likely a part of the execution step of the portfolio management process?

A. Portfolio construction.
B. Portfolio monitoring.
C. Performance measurement.

Question 3
Which theory suggests that managers choose methods of financing that send the least signal to outsiders?

A. Static Trade-off theory
B. Stakeholder theory
C. Pecking order theory

Question 4
ILC Co. raises 70 percent of its finances through debt whereas MUN Co. raises 30 percent of its finances through debt. ILC Co. most likely has:

A. higher operating risk.
B. higher financial risk.
C. higher sales risk.

Question 5
The NexCare Corp. has accounts payable of €1.5 million with terms of 1/10, net 35. Accounts receivable stands at €2 million. The company also has €1.5 million in marketable securities. NexCare has a short-term need of €300,000 to meet working capital requirements.

Which of the following options appears to be most suitable for raising the €300,000?

A. The company should delay paying accounts payable and forgo the 1% discount.
B. The company should sell some of its marketable securities at a 0.5% brokerage cost.
C. The company should sell some of its accounts receivable to a factor at a 5% discount.

Question 6
At the start of the year 2014, Daisy Merlin buys one share of a stock for USD14. At the start of 2015, Daisy buys another share of the same stock for USD13. The stock paid a dividend of USD0.50 per share each year. On January 1, 2016, Daisy receives a total of USD31.60 for selling the two shares. The time-weighted and the money weighted returns for Daisy are closest to:

Time weighted return & Money weighted return are

A. 9.96% & 14.35%
B. 5.80% & 11.82%
C. 9.88% & 17.28%

Question 7

A company decides to charge high price for its products or removes the product safety features to reduce costs. Such a scenario can create conflict of interest between:

A. customers and suppliers.
B. customers and shareholders.
C. shareholders and creditors.

Question 8

A “tag cloud” is a Big Data visualization technique where:

A. words that appear less frequently are shown with a larger font and words that appear more often are displayed with a smaller font.
B. the relationship between different concepts is shown.
C. words are sized and displayed based on the frequency of the word in the data file.

Question 9

Consider the following two mutually exclusive projects:

Project Year 0 Year 1 Year 2 Year 3

Project	Year 0	Year 1	Year 2	Year 3
A	(7,653)	5,304	6,666	7,002
B	(5,020)	4,800	3,289	2,465

If the annual discount rate is 7 percent for both the projects, the firm should most likely accept:

A. project A.
B. project B.
C. both projects.

Question 10

Elephant Inc. has preferred stock that pays a dividend of USD15 per share. It currently sells for USD130 per share. Its cost of preferred stock is closest to:

A. 19.5 percent.
B. 8.7 percent.
C. 11.5 percent.

Question 11

An asset management firm generated the following annual returns in their Asian large cap equity portfolio:

Year	Net Return (%)
2010	12.4
2011	-22.2
2012	8.7
2013	-1.4

The 2014 return needed to achieve a trailing five-year geometric mean annualized return of 5.0% when calculated at the end of 2014 is closest to:

A. 27.5%.
B. 33.4%.
C. 36.2%.

Question 12
Which of the following statements about breakeven quantity is least likely correct ?

A. The breakeven quantity is the level of sales at which net income is zero.
B. The operating breakeven quantity is the level of sales at which EBIT is zero.
C. The breakeven quantity is the level of sales at which net income and EBIT are equal.

Question 13
Analyst 1: Straight voting and related party transactions create conflict of interest between controlling shareholders and minority shareholders.
Analyst 2: Straight voting and related party transactions create conflict of interest between managers and board of directors.
Which Analyst's statement is least likely correct?

A. Analyst 1.
B. Analyst 2.
C. Both.

Question 14
When considering capital projects, at times ranking conflict exists between NPV and IRR. In this context, which of the following is least accurate?

A. Differing cash flow patterns can cause projects to rank differently.
B. Project scale can lead to ranking conflicts between NPV and IRR.
C. Non-conventional cash flow patterns can cause NPV values to rank projects incorrectly.

Question 15
Sara Smith, a technical analyst, observes the formation of a head shoulders pattern in a stock she has been following. Specifically, she notes the following information:

Head Price	$37.50
Shoulder Price	$31.20

Neckline Price	$28.25

Her target price should be:

A. USD19.00.
B. USD21.95.
C. USD24.90.

Question 16
Enercon Enterprises is evaluating an investment in a £100 million project that will be financed with 50% debt and 50% equity. Management has already determined that the NPV of this project is £13 million if it uses internally generated equity. However, if the company uses external equity, it will incur flotation costs of 7.5%. Assuming flotation costs are not tax deductible, the NPV using external equity would be:

A. less than £13 million because higher weighted average cost of capital would be used to incorporate the flotation costs.
B. £13 million because flotation costs have no impact on NPV.
C. £9.25 million after deduction of floatation costs.

Question 17
Which of the following is most likely considered a drag on liquidity?

A. Bad debts.
B. Reduced credit limits.
C. Making early payments.

Question 18
Given that the expected return on the market portfolio is 9 percent and the risk-free rate is 6 percent, the expected return of a security with a beta of 0.78 is closest to:

A. 8.3 percent.
B. 17.7 percent.
C. 11.3 percent.

Question 19
For capital budgeting purposes, flotation costs should be most likely:

A. ignored.
B. added to the cost of capital.
C. subtracted as one of the project’s initial cash flows.

Question 20
The management of Prime Corp. has developed a new process that it believes produces a superior product. The company must make an initial investment of USD211 million to commence production. If demand is high, cash flows are expected to be USD40 million per year. If demand is low, cash flows will be only USD25 million per year. Management believes there is an equal chance that demand will be high or low. The investment also gives the company a production-flexibility option allowing the company to add shifts at the end of the first year if

demand turns out to be high. If the company exercises this option, net cash flows would increase by an incremental USD9 million in Years 2–10. Assume opportunity cost of funds is 9%.

NPV of the optimal set of investment decisions for Prime Corp. including the production-flexibility option will be *closest* to:

A. \$22.32 million
B. \$24.55 million
C. \$51.53 million

Question 21
Which of the following institutional investors will most likely have the highest level of risk tolerance?

A. Life insurance company.
B. University endowment.
C. Commercial bank.

Question 22
Fran McGuire is estimating the cost of debt of DCM Corporation as part of her valuation analysis of the corporation. DCM has recently issued an eight-year, 10 percent semi-annual bond for USD960. The bond has a face value of USD1,000. If the marginal tax rate is 38 percent, the after-tax cost of debt is closest to:

A. 5.4%.
B. 10.8%.
C. 6.7%.

Question 23
An investment manager has the following information regarding his portfolio's return and volatility as compared to the market:

	Return	Risk
Market	6.35%	10.54%
Portfolio	8.68%	15.73%

Given that the risk-free rate is 5.50%, M2 alpha would be closest to:

A. 3.9 percent.
B. 1.3 percent.
C. -2.6 percent.

Question 24
The risk that a counterparty will not pay an amount owed on an obligation is most likely known as:

A. credit risk.
B. solvency risk.
C. market risk.

Question 25
Consider the following income statement of a company:

	$ (millions)
Revenue	21.8
Variable operating costs	8.9
Fixed operating costs	10.5
Operating income	2.4
Interest	0.9
Taxable income	1.5
Tax	0.8
Net income	0.7

The company's degree of operating leverage is closest to:

A. 5.4.
B. 4.7.
C. 9.1.

Question 26
Which of the following questions is *most likely* to be asked to mitigate or prevent availability bias?

A. "How does new information change my forecast?"
B. "Am I buying or selling investments because of a recent market event without doing a thorough analysis?"
C. "Is the decision the result of focusing on a net gain or net loss position?"

Question 27
Revolvers are:

A. in effect for multiple years
B. often used for much larger amounts
C. Both A) and B)

Question 28
Samantha purchases stock on margin and holds the position for exactly one year.
Consider the following information:
• Shares purchased: 500
• Purchase price: $10 per share
• Call money rate: 7%
• Dividend: USD0.5 per share
• Leverage ratio: 2.5
• Total return on equity: 40%
If the interest on loan and dividend are both paid at the end of the year, the price at which Samantha sold the stock is closest to:

A. $4.50.
B. $9.63.
C. $11.52.

Question 29
An analyst gathers the following information about three stocks in a price-return index:

Stock	Shares Outstanding	% Shares in Market Float	Beginning of Period Price ($)	End of Period Price ($)	Dividends Per Share ($)
A	2,500	75	40	55	4
B	3,300	80	60	54	6
C	2,800	55	55	52	5

If the beginning value of the float-adjusted market-capitalization-weighted equity index is 100, the ending value is closest to:

A. 100.1.
B. 97.6.
C. 102.4.

Question 30
Which of the following actions taken by an issuer would most likely be considered as a potential breach of a negative covenant?

A. The issuer decides not to sell its assets in order to finance its own operating activities.
B. The issuer announces a buy-back of its own shares from the market to reduce its outstanding capital.
C. The issuer raises additional debt, which is lower in seniority as compared to the outstanding debt to finance its own operating activities.

Question 31
According to the industry life-cycle model, an industry experiencing slowing growth and intense competition is most likely in its:

A. embryonic stage.
B. maturity stage.
C. shakeout stage.

Question 32
Which of the following bonds would appreciate the most if the yield curve shifts down by 100 basis points at all maturities?

A. 5-year 6% coupon and 7% YTM.
B. 6-year 6% coupon and 7% YTM.
C. 6-year 7% coupon and 7% YTM.

Question 33
Which of the following statements about investing is most likely accurate?

A. An investor who takes a short call position benefits from an increase in the price of the underlying.
B. An investor who has the right under a contract to sell an underlying asset is said to have a long call position.
C. The return of a borrowed security is referred to as covering the short call position.

Question 34
Using the following US Treasury spot rates, the arbitrage-free value of a two-year USD100 par value Treasury bond with a 4% semi-annual coupon rate is closest to:

Time Period	Spot Rate	Years
1	1.00%	0.5
2	1.50%	1.0
3	2.00%	1.5
4	2.25%	2.0

A. $99.12.
B. $100.00.
C. $103.44.

Question 35
An analyst gathers the following information for NYSE-3, a price-weighted index, comprised of Cola, Fizz and Scotch:

Security	Number of shares	Beginning of period price ($)	End of period price ($)	Total Dividend ($)
Cola	1,000	50	49	15
Fizz	1,500	64	72	9
Scotch	1,250	55	68	12

The price return of the index is closest to:

A. 4.3 percent
B. 11.8 percent.
C. 12.7 percent.

Question 36
Which of the following is least likely a characteristic of the shakeout stage?

A. Increasing profitability.
B. Intense competition.
C. Slow growth.

Question 37
Analyst 1: An arbitrage opportunity is an opportunity to buy an asset at less than its fundamental value.
Analyst 2: An arbitrage opportunity is an opportunity to make a profit at no risk with no capital invested.

A. Analyst 1 is correct.
B. Analyst 2 is correct.
C. Both analysts are incorrect.

Question 38
A trader places a stop-buy order. The most likely reason for that could be that the trader:

A. thinks that the stock is overvalued.
B. wants to limit the loss on a long position.
C. wants to limit the loss on a short position.

Question 39
Which of the following statements about callable bonds is most likely correct?

A. The issuer benefits from lower borrowing costs by issuing callable bonds as compared to similar non-callable bonds.
B. The issuer can substitute its existing debt with lower-cost debt by calling the bonds.
C. The issuer can take advantage of higher interest rates by calling the bonds.

Question 40
According to put-call parity, which of the following combinations will result in a risk- free position?

A. Long asset, long put, short call.
B. Long call, long put, short asset.
C. Long asset, long call, short bond.

Question 41
According to behavioral finance, the investor bias in which investors dislike losses more than they like comparable gains is best described as:

A. loss aversion.
B. overconfidence.
C. risk aversion.

Question 42
Which of the following industries is *most likely* to be characterized as concentrated with weak pricing power?

A. Integrated Oil
B. Home Improvement
C. Restaurants

Question 43
In credit analysis, relying only on credit rating agency's ratings has limitations because:
A. of huge growth of debt markets.
B. of independent assessment of credit risk.
C. credit spreads move more quickly than rating agencies change ratings.

Question 44
In case of capital indexed bonds linked to inflation, when inflation increases:
A. the principal amount remains unchanged but the coupon rate increases.
B. the coupon rate remains unchanged but the principal amount increases.
C. the coupon payment remains unchanged but the principal amount increases.

Question 45
Momentum anomalies most likely:
A. relate to long-term price patterns.
B. are consistent with weak-form market efficiency.
C. are caused by investor overreaction.

Question 46
Which of the following statements about repurchase agreements and reverse repurchase agreements is most likely accurate?
A. Reverse repurchase agreements are often used to cover short positions.
B. In a repurchase agreement, the repurchase price is determined on the repurchase date.
C. If the dealer is borrowing a security and lending cash to the counterparty, from the dealer's perspective the transaction is termed as a repurchase agreement.

Question 47
Assuming a floating-rate note in a market exists with a quoted margin of +25 basis points and a required margin of +40 basis points, the price of the note on its next reset date will most likely be:
A. less than par value.
B. equal to par value.
C. greater than par value.

Question 48
Which of the following statements about forward rate agreements is/are most likely correct?
Statement I: A bank that intends to lend in the future can hedge its interest rate risk by taking a short position in a forward rate agreement.
Statement II: A company that expects to borrow in the future can hedge its interest rate risk by taking a long position in a forward rate agreement.
A. Statement I but not Statement II.
B. Statement I and II.
C. Neither Statement I nor Statement II.

Question 49
Ms. Yang wants to sell a large block of an illiquid stock from her portfolio and seeks advice from her trader. The trader will most likely execute the trade in a(n):

A. brokered market.
B. order-driven market.
C. quote-driven market.

Question 50
The principal balance of a pool is USD10,000,000 and USD100,000 is scheduled to be repaid in a given month. The SMM is 0.89%. The forecasted prepayment amount for the month is closest to:

A. 890.
B. 88,110.
C. 89,000.

Question 51
An investor who would like to get public market debt exposure to real estate would most likely consider investing in:

A. collateralized mortgage obligations.
B. shares of real estate investment trusts.
C. direct mortgage lending.

Question 52
An investor who wants to exploit the value effect is most likely to purchase shares of a company which has higher:

A. market-to-book ratios.
B. dividend yields.
C. price-to-earnings ratios.

Question 53
Which of the following is most likely correct with respect to Commodity indexes?

A. Because the commodity indexes consist of futures contracts on the commodities rather than the actual commodities, the return of the commodity index reflects changes in future prices only.
B. The return of all the commodity indexes is different because each index may use a different weighting method.
C. Commodity indexes that target the same market share similar risk and return profiles.

Question 54
Which of the following statements about exchange-traded derivatives is most accurate?

A. They are less transparent than over-the-counter derivatives.
B. All terms of the contract except the price are standardized.
C. They have more credit risk than over-the-counter derivatives.

Question 55

A 6-year annual pay corporate bond with a 3.25% coupon is priced at $98.36. The bond's duration is 5.8 and its convexity is 36. Assuming the bond's credit spread narrows by 75 basis points, the approximate return impact on the bond considering its convexity is closest to:

A. -4.45%.
B. 5.80%.
C. 4.45%.

Question 56

A South Korean company that has operations in the UK and the US issues a US dollar denominated bond. The price of this bond is most likely to:

A. change as UK interest rates change.
B. change as US interest rates change.
C. change as South Korean interest rates change.

Question 57

The value of a non-dividend company with a high proportion of intangible assets is most appropriately found by using:

A. Gordon growth model.
B. asset-based valuation model.
C. free-cash-flow-to-equity model.

Question 58

On 1 January 2014, Paul Corp. issued USD100 par value, floating rate bonds at 3-month LIBOR + 100 bps. These bonds pay interest on a quarterly basis. We are now at the end of June and the second quarterly interest payment is due. What is the coupon payment bondholders will receive? Assume that: 6-month LIBOR at the beginning of January was 4%, 3-month LIBOR at the end of March was 2% and 3-month LIBOR now is 3.50%?

A. $3.00.
B. $0.75.
C. $1.25.

Question 59

Which of the following derivatives is a contingent claim?

A. Credit default swap.
B. Interest rate swap.
C. Forward contracts.

Question 60

The following information about Cola Inc. has been gathered for analysis:

ROE	12 percent
Retention Ratio	60 percent.

Required Return on Shares	11 percent.
Next Year’s EPS	$9

The company’s justified forward P/E ratio is closest to:

A. $15.8x.
B. $9.7x.
C. $10.5x.

Question 61
Which of the following statements about covered bonds is *least* accurate?

A. Covered bonds offer bondholders dual recourse.
B. Covered bonds usually consist of one bond class per cover pool whereas ABS often comprise of several bond classes.
C. The underlying asset pool is transferred to a separate SPV.

Question 62
Following data on a company is provided:

Year	EPS	DPS	ROE
2013	4.45	1.85	14%
2012	2.50	0.50	12%
2011	3.20	1.10	13%
2010	2.78	0.85	12%
2009	2.15	0.77	11%
2008	2.05	0.75	10%

Assume the estimated dividend growth rate is the average of the compounded annual growth rate of dividends over the period 2008–2013 and the sustainable growth rate for the year 2013. The required return is 17%. Using Gordon’s constant growth dividend discount model, the stock’s intrinsic value is closest to:

A. USD22.7.
B. USD54.8.
C. USD70.3.

Question 63
The highest-ranked unsecured debt is:

A. senior unsecured debt.
B. senior subordinated debt.
C. first lien loan.

Question 64
Which of the following statements is/are most likely correct?
Statement I: The annual payment of a fully amortized bond can be viewed as an annuity.
Statement II: A sinking fund arrangement reduces the risk the issuer will default when the principal is due, thereby reducing the credit risk of the bond issue.
Statement III: A bond that is fully amortized is characterized by a fixed periodic payment schedule that reduces the bond's outstanding principal amount however, there is a balloon payment at maturity as well.

A. Statement II only.
B. Statement I and II.
C. Statement I and III.

Question 65
Baskit Ltd. is a French company which exports confectionary to the United States. The firm has a policy of converting all foreign currency receipts into euros. Expecting to receive USD85 million from a customer in three months, Baskit's chief financial officer is most likely to hedge the risk of an adverse FX movement by:

A. buying dollars in the forward market.
B. selling euros in the forward market.
C. selling dollars in the forward market.

Question 66
Which of the following strategies best replicates a receive variable pay fixed swap?

A. Purchasing a series of forward contracts, each with an initial value of zero.
B. Purchasing a floating rate bond financed by issuing a fixed rate bond.
C. Purchasing a fixed rate bond financed by issuing a floating rate bond.

Question 67
Which of the following is most likely to be directly reflected in the returns on a commodity index?

A. Roll yield.
B. Changes in the spot prices of underlying commodities.
C. Changes in the returns of underlying commodities.

Question 68
A US bank issued USD100 million of 90-day, 3% US commercial paper. The bank will pay the investor:

A. $100,750,000 at maturity.
B. $750,000 at maturity.
C. $100,000,000 at maturity.

Question 69
The management fee for private equity funds is usually based on:

A. initial investment.
B. committed capital.

C. assets under management.

Question 70

Which of the following statements on commodity investing is least likely accurate?

A. If commodity prices determine inflation index levels, over time, commodities would on average yield a zero-real return.
B. Investors can own shares in a company exposed to commodity such as oil to gain a direct exposure to commodity prices.
C. Historically, commodities have exhibited a low correlation with traditional assets.

Question 71

The flat price is usually quoted by bond dealers because:

A. flat price is adjusted after each coupon payment.
B. flat price includes accrued interest which is to be paid by the buyer.
C. flat price avoids misleading investors about the market price trend for the bond.

Question 72

Rachel thoroughly studies and analyzes financial information before buying stocks. Her peers rely on her judgement and imitate her investment decisions. This behavioral bias most likely:

A. illustrates irrational behavior.
B. improves market efficiency.
C. decreases market efficiency.

Question 73

A call option is most likely to be more valuable if:

A. the underlying asset has a convenience yield.
B. the underlying asset pays a dividend.
C. storage costs of the underlying asset are positive.

Question 74

The structure of a sequential pay CMO allows contraction risk:

A. to be completely eliminated; however, extension risk still exists.
B. and extension risk to be redistributed between the tranches.
C. to be redistributed; however, extension risk is completely eliminated.

Question 75

Which of the following statements about empirical and analytical durations is *least* accurate?

A. Empirical duration uses statistical methods and historical bond prices to derive the price-yield relationship for specific bonds or bond portfolios.
B. Analytical duration implicitly assumes that benchmark yields and credit spreads are uncorrelated with one another.

C. For a government bonds with little or no credit risk, the empirical duration will be lower than their analytical duration.

Question 76

Which of the following metrics used to review the performance of alternative investments is a variation of the Calmar ratio?

A. Sortino ratio
B. MAR ratio
C. Batting average

Question 77

A 10-year annual pay bond with 8% coupon and face value of USD1,000 is currently priced at USD952.52. Duration of the bond is 9.52 and convexity is 23.65. Recently due to weakening economy the bond's credit spread widened by 50 basis points. The bond's price will most likely:

A. decrease by 4.73%.
B. decrease by 4.93%.
C. increase by 4.71%.

Question 78

Which of the following is not a contingent claim?

A. A put option.
B. An interest rate swap.
C. A credit default swap.

Question 79

Which of the following statements about swaps is most likely correct?

A. Swaps typically trade on an exchange.
B. Swaps are largely unregulated.
C. Swaps require a daily settlement of gains and losses.

Question 80

The value of a forward contract prior to expiration is the value of the asset:

A. minus the forward price.
B. minus the present value of the forward price.
C. plus the present value of the forward price.

Question 81

Which of the following statements about venture capital investments is most likely accurate?

A. Angel investing refers to capital provided at product development stage.
B. Mezzanine venture capital investing refers to capital provided to take the company public.
C. Venture capitalists are passive investors.

Question 82
Assume that the GP has earned an 19% IRR on an investment, the hurdle rate is 8%, and the partnership agreement includes a catch-up clause. Which of the following statements is *most* accurate about profit distribution in this case?

A. The GP effectively earns 3.8% and the LP effectively earns 15.20%.
B. The GP effectively earns 2.2% and the LP effectively earns 16.8%.
C. The GP effectively earns 2% and the LP effectively earns 17%.

Question 83
Which of the following statements is not accurate about waterfall?

A. It defines the way in which cash distributions will be allocated between the GP and the LPs.
B. In most waterfalls, a GP receives a disproportionately larger share of the total profits relative to their initial investment.
C. European waterfalls are more advantageous for a GP compared to American waterfalls.

Question 84
Consider an American call and a European call on the same underlying asset with the same strike price and expiration date. Which of the following is least likely?

A. Both American call and European call priced at USD5.
B. American call priced at USD4 and European call priced at USD5.
C. American call priced at USD5 and European call priced at USD4.

Question 85
Which type of a real estate index is most likely to exhibit sample selection bias?

A. Appraisal index.
B. REIT index.
C. Repeat sales index.

Question 86
Pinks Inc. uses cash to buy back common shares. The most likely effect of this will be a:

A. higher growth rate.
B. higher profits.
C. higher ROE.

Question 87
The characteristics that most likely make a company attractive as a leveraged buyout target are:

A. a company with a strong cash flow but the company is currently managed inefficiently.
B. a company that is inefficiently managed and its stock price is overvalued.
C. a company that has a high amount of debt on its balance sheet and a management that is looking for a buyout deal.

Question 88

Which of the following is most likely an example of a derivative?

A. A mutual fund.
B. An exchange traded fund.
C. A forward rate agreement.

Question 89

Which type of alternative investment approaches is *most likely* subject to adverse selection bias?

A. Fund investing
B. Co-investing
C. Direct investing

Question 90

SHM Capital is a hedge fund with USD200 million of initial investment capital. They charge a 3 percent management fee based on assets under management at year-end and a 15 percent incentive fee. In its first year, SHM Capital has a 28 percent return. Assume management fees are calculated using end-of-period valuation. In the second year, the fund value declines to USD225 million. In the third year, the fund value increases to USD250 million. If the incentive fee is calculated net of the management fee, and also includes the use of a high-water mark, the fees earned by SHM in the second year is *closest* to:

A. USD2.10 million.
B. USD4.65 million.
C. USD6.75 million.